

2013 SCC OnLine All 11490

In the High Court of Allahabad
(BEFORE ASHOK BHUSHAN AND VIPIN SINHA, JJ.)

Parmarth Steels & Alloys (Pvt.) Ltd. and Another ...
Petitioners;

Versus

U.P. Power Corporation Ltd. (Transco) and Others ...
Respondents.

Writ - C No. - 4544 of 2008

Decided on December 3, 2013

Advocates who appeared in this case :

Counsel for Petitioner : - B.C. Rai

Counsel for Respondent : - H.P. Dube, A.N. Singh, Pankaj Kumar Shukla, S.C.

The Order of the Court was delivered by

ASHOK BHUSHAN and VIPIN SINHA, JJ.:— Heard Sri. B.C. Rai, learned counsel for petitioners and Sri. Nripendra Mishra appearing for respondents.

2. By this writ petition, the petitioners have prayed for quashing the order dated 17.12.2007 issued by Executive Engineer rejecting the petitioners objections submitted against provisional assessment notice dated 23rd July, 2007.

3. Petitioners have also prayed for mandamus restraining the respondent no. 3 from recovery of balance amount of Rs. 1,07,23,725/- pursuant to orders dated 17.12.2007 and 27th July, 2007 (other reliefs claimed in the writ petition has not been raised).

4. Counter and rejoinder affidavits have been exchanged between the parties and with the consent of the learned counsel for the parties we proceed to decide the writ petition finally.

5. The brief facts as emerge from the pleadings of the parties are that the petitioners have contracted load of 3060 KVA from the respondent corporation. The petitioners have been receiving electricity supply from 132 K.V. Pilichowki, Sub station which is an independent feeder. In the petitioners' premises the meter has been installed, namely, energy meter. There is another meter installed outside, namely, double pole meter on same supply line for keeping check at the factory for accounting and billing, in case of failure of energy meter. The meter installed outside is known as 'outdoor meter'. At Pilichowki Sub station, there is another meter installed which is known as "energy

accounting meter”.

6. From the meter at Sub Station energy account chart is being maintained in which line losses is also recorded. The petitioners' premises have been inspected every month and at no point of time any tampering in the energy meter was noted. Last such inspection was made on 21st June, 2007, again on 5th July, 2007 an inspection was made by the official of respondent no. 3 who inspected energy meter as well as C.T./P.T., MRI was also done from the energy meter and it was noticed that Push button is not functioning and one phase in the meter was not being shown properly. The petitioners on 6th July, 2007 made a request to prepare energy bill on the basis of outdoor meter. On 11th July, 2007, the officials again inspected the energy meter and power supply was disconnected on 11th July, 2007 itself. On 12th July, 2007, petitioners were supplied checking report and ceiling certificate. On 13th July, 2007 a provisional assessment notice under Section 126(2) of Electricity Act, 2003 was given to the petitioner proposing an assessment of Rs. 1,52,53,942/- for the period between 9th May, 2007 to 11th July, 2007. The petitioners have submitted a representation requesting that the provisional assessment notice be cancelled. By a non speaking letter dated 27th July, 2007, the petitioners' representation was rejected. The petitioners filed a writ petition being writ petition no. 47202 of 2007 against the order dated 27th July, 2007 which was disposed of on 1.10.2007 by following order:—

“The Executive Engineer Electricity Distribution Division, Bijnor will apply a copy of MRI report for the last one year to the petitioner within a period of one week of the filing of the certified copy of this order.

It will be open to the petitioners to file further objection within a period of three weeks from today.

Within a period of six weeks, thereafter, the Executive Engineer Electricity Distribution Division, Bijnor will decide afresh the objection dated 24.7.2007 filed by the petitioners as also any fresh objection filed by the petitioners, as mentioned above in accordance with law by passing a speaking order dealing with each and every point raised by the petitioners.

With the aforesaid directions, the Writ Petition stands disposed of.”

7. After the order of this Court dated 1.10.2007, petitioners filed a detailed objection dated 12.11.2007 against the provisional assessment notice which objection contained 34 paragraphs. The Executive Engineer vide letter dated 17.12.2007 rejected the objections of the

petitioners. After the assessment dated 27th July, 2007 petitioners by letter dated 27th August, 2007 was asked to deposit the amount of Rs. 45,30,270/- plus Rs. 28,07,611/- for restoration of supply. Petitioners deposited the amount and supply was restored.

8. The petitioners have challenged the order dated 17th December, 2007 by means of this writ petition. The writ petition was filed on 21st January, 2008 which was entertained and an interim order was passed on 6th February, 2008 staying the demand of electricity dues on the basis of impugned order dated 17.12.2007.

9. Learned counsel for the petitioners submitted that there was no material to prove theft of electricity on the part of the petitioners and the Executive Engineer has acted without jurisdiction in making theft assessment. It is further submitted that detailed objections raised by the petitioners has neither been adverted nor the issues raised by the petitioners in its objections were decided by the Executive Engineer. The order dated 17.12.2007 is nothing but parawise reply to various objections without there being any proper consideration of issues raised by the petitioners.

10. It is submitted that when on checking on 5th July, 2007, the meter was found O.K. and there was no occasion to assess the petitioners for 63 days. The assessment was not made in accordance with provision of Section 126 of Electricity Act, 2003 and clause 6.8 of U.P. Electricity Supply Code, 2005. He submitted that when on inspection dated 11th July, 2007 the pole meter was found O.K., the said reading ought to have been accepted which clearly disproved any allegation of unauthorized use of electricity. It is further submitted that there being meter at Sub Station where details are maintained of line losses, the said reading was also required to be taken into consideration before making any decision regarding theft assessment. The ingredients of Section 135 of Electricity Act were not made out and mere allegation of damage seal of C.T. chamber cannot mean theft of electricity unless there is any other material to suggest the theft of electricity.

11. It is further submitted that the objections of the petitioners have not been considered, although this Court vide its order dated 1.10.2007 has directed the Executive Engineer to deal with each and every point raised by the petitioners.

12. Sri. Nripendra Mishra, appearing for the respondents at the very outset submitted that writ petition be dismissed on the ground of alternative remedy of appeal provided by Section 127 of Electricity Act, 2003. It is further submitted by Sri. Nripendra Mishra that checking report dated 11th July, 2007 clearly makes out a case of theft of

electricity. He submitted that seal of C.T./P.C. Chamber had been found tempered, the respondents have correctly made a theft assessment. He submitted that in an independent feeder a group of consumers may be connected, hence the reading of meter of Sub Station is not very relevant.

13. We have considered the submissions of learned counsel for the parties and perused the record.

14. The submission made by Sri. Nripendra Mishra, learned counsel for the respondents that the writ petition be not entertained due to availability of remedy of appeal is to be considered first. Learned counsel for the petitioners replying the objections of respondents, contended that the writ petition having been pending in this Court for more than five years and the counter and rejoinder affidavits having been exchanged between the parties, at this stage the petitioners be not relegated to alternative remedy. It is further submitted that the assessment having not been made in accordance with statutory provision, petitioners may not be relegated to alternative remedy. Learned counsel for the petitioners further submitted that the petitioners have already deposited the amount as communicated by the respondents vide letter dated 27th August, 2007 and electricity connection has been restored and petitioners have been making regular payment of bill as and when due hence, the writ petition be decided on merits and has placed reliance on judgment of the Apex Court reported in (2004) 13 SCC 665 *Durga Enterprises (P) Ltd. v. Principal Secretary, Govt. of U.P.* He further placed reliance on Division Bench Judgments of this Court reported in 2009 9 ADJ 670 *Roshan Lal v. State of U.P.* and (2013) 5 ADJ 691 *Dhani Ram v. Chief Engineer Raj Ghat Project Betwa River Board*.

15. The Division Bench judgment in Roshan Lal's case, while considering the similar objection has laid down following in paragraphs nos. 7, 10 and 11:—

“7. It is well settled that existence of alternative remedy does not bar the jurisdiction of this Court. It is a matter of discretion and not jurisdiction. It is self imposed discipline, wherein when an Act provides for a complete machinery for seeking redress, the writ Court declines to interfere in the matter and relegate a litigant to the remedy provided under the Statute. Power under Article 226 of the Constitution is not intended to circumvent statutory procedure but it is not an absolute bar and merely a factor, which requires consideration while exercising the power. Dismissal of the writ petition on the ground of alternative remedy long after its filing and exchange of pleadings, may lead to shutting the door of alternative remedy itself. Provisions of alternative remedy in many of the cases

provide for limitation and in case writ petitions are dismissed after exchange of pleadings after a long time, the damage cannot be countenanced.

10. The Supreme Court had also considered this issue in the case of Durga Enterprises (P) Ltd. v. Principal Secretary, Govt. of U.P., (2004) 13 SCC 665 in which, in categorical terms, it has been held that the High Court having entertained the writ petition in which pleadings were also complete, ought to have decided the case on merits instead of relegating the parties to a civil suit. Relevant portion of the judgment of the Supreme Court in this regard, reads as follows : -

“2. By the impugned order the writ petition, which was pending for a long period of thirteen years, has been summarily dismissed on the ground that there is remedy of civil suit. The dispute between the parties was concerning exercise of the respondents' alleged right of re-entry on the disputed property in accordance with sub-rules (2) and (3) of Rule 5 of the Land Acquisition (Companies) Rules, 1963. The aforesaid Rules contain a mechanism for adjudication of a dispute relating to the alleged breach of terms of the agreement and the manner in which it is to be resolved.

3. The High Court, having entertained the writ petition, in which pleadings were also complete, ought to have decided the case on merits instead of relegating the parties to a civil suit.

4. We, therefore, set aside the impugned order of the High Court and remit the matter to it for taking a decision on merits, after hearing the parties, within the earliest possible period.” (Underlining ours).

11. A Division Bench of this Court had also the occasion to consider this question in the case of Diwakar Dutt Bhatt v. Life Insurance Corporation of India, (1998) 2 UPLBEC 1154, in which it has been held that the bar of alternative remedy is nothing but a matter of self-imposed discipline and in a case in which the petition was entertained and pleadings have been exchanged, it would be inexpedient to dismiss the writ petition on the ground of alternative remedy. Paragraph 12 of the judgment, which is relevant for the purpose, reads as follows : -

“12. As far as the first ground is concerned the writ-petition was filed on 29.10.1997. The petition was entertained and the respondents were directed to file the counter-affidavit. The counter affidavit has been filed. The rejoinder affidavit has also been filed. The case was heard today. No doubt the administrative instructions provide for filing of an appeal but the question which remains to be decided is, as to whether, on the ground of availability of an alternative remedy the writ-petition, which has been entertained can

be thrown out and the petitioner be relegated to the appellate authority. The bar of the alternative remedy is nothing but a matter of self-imposed discipline which the Courts have imposed upon themselves for the reason that the jurisdiction of Article 226 of the Constitution of India, should be invoked after exhausting the alternative remedies available to an aggrieved person."

16. The writ petition was entertained on 21st January, 2008 and an interim order was also passed by Division Bench on 6th February, 2008 staying the demand of electricity dues. After the assessment dated 26th July, 2007, petitioners were asked to deposit certain amount for restoration of electricity which was deposited by the petitioners and electricity was restored and petitioners having been making payment of regular bills, we are of the view that at this stage it is not appropriate to dismiss the writ petition on the ground of remedy of appeal. This court generally does not entertain the writ petition when statutory remedy of appeal is available to the petitioners but when the writ petition was entertained five years ago and the court having already granted interim order to the petitioners and the writ petition remained pending for more than five years, it appears that it is not a fit case to be dismissed on the ground of alternative remedy.

17. We, therefore, proceed to decide the writ petition on merits.

18. As noted above, after order of this Court dated 1.10.2007, the petitioners filed detailed objection against the provisional assessment notice. It is useful to refer only few of the issues which are raised in the objection especially objection raised in paragraph nos. 17, 21, 22, 24, 31, 33 which are quoted below:—

"17. That the Objectionists submit that the line loss chart of K.V. Independent feeder, prepared by the Executive Engineer, ETD, Bijnor, is a conclusive proof of the fact that the entire quantum of electrical energy supplied through 33 KV independent feeder is being exclusively received and consumed by the Objectionist No. 1. It has been recorded and metered in the meters at both the ends. Readings in the meters of both the ends tallied. There has been no theft of unauthorized use of electricity.

19. That the Objectionists submit that in view of explanation (b) of Section 126 of Act of 2003 the "unauthorized use of electricity" means the usage of electricity; (i) by any artificial means; or (ii) by a means not authorized by the concerned person or authority or licensee; or (iii) through a tampered meter or for the purpose other than for which the usage of electricity was authorized. Neither there is any allegation that the aforesaid case fall under explanation (b) of Section 126 of the Act of 2003 nor there is any allegation in provisional assessment notice that the meter was found tampered. In view of this the assessment made

on the allegation that power consumption was is wholly irrelevant and could not be a basis of unauthorized use of electricity.

20. That apart from the above submissions, the Objectionists state that the definition of unauthorized use of electricity itself indicates that the question of levy of “assessment of electricity charges” arises only in a situation where on an inspection the Assessing Officer comes to a conclusion that the consumer has indulged in unauthorized use of electricity through tempered meter. Therefore, there was unauthorized use of electricity. In view of the above the very basis of assessment order, namely, unauthorized use of electricity, is without any evidence and wholly arbitrary.

21. That, assuming but without admitting, the Objectionists submit that the assessment order can be passed by the Assessing Officer only when he is satisfied that the consumer has indulged in unauthorized use of electricity through tempered meter and there is prima facie evidence against the consumer. Such satisfaction and evidence can only be arrived after verifying the consumption recorded in the meter installed at Sub-station. In the present case neither the consumption of main was cross checked through the consumption of out door meter nor cross checked through Sub-station meter. In these circumstances provisional assessment notice is not based on any legal evidence and is not only wholly illegal but also against the provisions of law.

22. That, assuming but without admitting, the Objectionists submit that any action can be taken against the petitioner, still it is submitted that on 5.7.2007 the mater having been checked by the officers of PVVNL and the meter was found OK, there is no justification for counting the period of assessment of electricity charges as 63 days and, therefore, the assessment for such an arbitrary period is not permissible in law. If assessment of electricity charges would have been made correctly in accordance with the provisions of Section 126 of the Act of 2003 read with Clause 6.8 of Code of 2005, the Petitioner cannot be required to assessed for a period of 6 days and hence arbitrary assessment amount for a much longer period is highly excessive, fictitious and imaginary.

23. That similar assessment of electricity for 63 days has been raised twice the normal tariff. It is made clear that the Section 126(6) of the Act of 2003 provided that assessment on electricity charges would be levied at one and half times of the rate of tariff. The said rate of assessment was amended and enhanced from one and half times to twice of the tariff w.e.f. 15.6.2007. Thus, provisional assessment notice for the period anterior to 15.6.2007 at twice the rate of tariff is wholly illegal and contrary to law.”

24. As noted above, petitioners are receiving supply from an independent feeder, there is one meter installed at Sub Station another

meter namely, outdoor meter outside the premises of the petitioners and one meter i.e. energy meter within the premises. The outdoor meter which has been installed outside the premises was installed with purpose and object to work as check meter. The petitioners have referred to the circular dated 23rd April, 2007 of Chief Engineer (Annexure-2 of the writ petition) providing for double metering and pole meter is to be treated as check meter.

25. Sri. Nripendra Mishra, learned counsel for the respondents referring to circular dated 21st September, 2007 of U.P. Power Corporation submitted that pole meter cannot be given the status of check meter. The circular dated 21st September, 2007 has been filed as annexure-C.A.-2 to the counter affidavit filed on behalf of the respondent nos. 2, 3, 4 and 5.

26. A perusal of the circular dated 21st September, 2007 clearly shows that the circular dated 23rd April, 2007 is modified to the extent that double metering is for the purpose of checking only.

27. Be that as it may, the circular dated 21st September, 2007 does not deny that the double pole meter is for the purpose of checking. It is further relevant to note that in the checking report dated 11th July, 2007 which has been filed as annexure-9 to the writ petition, although, the plastic seal on the back side of the C.T. chamber was found damaged and tempered but outdoor meter was found O.K.

28. Petitioners in their objections have specifically stated that consumption of main energy meter was not cross checked through consumption of outdoor meter and sub Station meter. When the respondents were examining the allegation of theft assessment the reading of outdoor meter which was found as O.K. was most relevant factor to be considered while recording any conclusion of theft assessment.

29. In spite of specific objection raised in this regard in para 24 of the objection only reply given to objection 24 in the order dated 17.12.2007 is as follows:—

“Assessment is as per rules and has been finalised after considering all the facts”

30. Further the submission of the petitioners have also substance that the petitioners having receiving supply from independent feeder and a meter having also installed as sub Station from where supply is released and there being record of line loses pertaining to petitioners the reading of the Sub station meter were also relevant factor for determining the question as to whether any theft of electricity was committed. The reading which has been maintained at Sub station has

to be given due consideration while deciding the objections.

31. Although, learned counsel for the petitioners have advanced various the submissions to press their point that there was no material to record any theft assessment but it is not necessary for us to enter into such submissions. We have found that objections raised by the petitioners have not been fully adverted to and considered by the Executive Engineer. It is for Executive Engineer to consider all the objections raised in detail written objection of the petitioners dated 12.11.2007 before making any final assessment under Section 126 of the Electricity Act, 2003.

32. We are of the view that order dated 17.12.2007 deserves to be set aside and is hereby set aside. The matter is remitted to the Executive Engineer to take a fresh decision regarding final assessment under Section 126 of the electricity Act, 2003 after due consideration of the objection dated 12.11.2007 submitted by the petitioner.

33. In result, the order dated 17.12.2007 is set aside. The matter is remitted to the Executive Engineer respondent no. 3 to take a fresh decision regarding final assessment under Section 126 of the electricity Act, 2003 after due consideration of the objection dated 12.11.2007.

34. The writ petition is allowed to the extent indicated above.

35. Parties shall bear their own costs.

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